

Listen to the promise God made His people: “If you fully obey the Lord your God and carefully follow all his commands I give you today, the Lord your God will set you high above all the nations on earth.... The Lord will open the heavens, the storehouse of his bounty, to send rain on your land in season and to bless all the work of your hands. You will lend to many nations *but will borrow from none*” (Deuteronomy 28:1, 12, emphasis added).

2: *Do not accumulate long-term debt*

It’s hard to believe that a typical American family accepts a thirty-year home mortgage as normal today.

Some experts advise choosing a thirty-year mortgage over a fifteen-year loan, since the payments will most likely be lower. The thinking is that you can use any excess funds to pay down the principal.

Consider a house that was purchased for \$225,000 with a down payment of \$10,000, making the amount financed \$215,000. At a rate of 4.625 percent, the payment on a thirty-year loan would be \$1,105.

The same house with a fifteen-year mortgage would carry a monthly payment of \$1,631, a clear difference.

However, on the fifteen-year loan, the payment breaks down to \$847.15 in principal and \$783.85 in interest. But in the thirty-year arrangement, only \$276.74 goes toward the principal—the remaining \$828.65 of the payment is interest.

Halfway into the loan, the buyer with the fifteen-year loan is putting far more into principal than interest. But for the buyer with the thirty-year loan, halfway is fifteen years, and at this point, \$316.63 is going toward principal and \$788.37 toward interest—and interest is just money thrown away.¹

Obviously, house prices and interest rates fluctuate regionally and with the economy. The figures in the example above are just to show how long-term debt might look attractive today, but will really cost far more when added up over the years. If possible, it’s